

Share Price Analysis Report



Hindustan Unilever Limited



Powering a Nation on the Rise

Share Price Analysis Report



Hindustan Unilever Limited

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•Business Overview:

Hindustan Unilever Limited (HUL) is India's largest Fast-Moving Consumer Goods (FMCG) company. The company has a strong portfolio of brands across various categories including:

- Home Care: Surf Excel, Rin, Wheel, Comfort, Domex
- Personal Care: Lux, Lifebuoy, Rexona, Dove, Ponds, Sunsilk, Clinic Plus, TRESemmé, Vaseline
- Foods & Refreshment: Knorr, Kissan, Brooke Bond, Lipton, Horlicks, Bru, Kwality Wall's

HUL has a rich heritage in India with over 90 years of presence. The company operates with a purpose to help people feel good, look good, and get more out of life.

Key Highlights

1. Near-term Drivers

- Input Cost Stabilization: Easing of crude oil and palm oil prices expected to improve margins
- Rural Recovery: Gradual recovery in rural demand with improving macroeconomic conditions
- Premiumization: Continued focus on premium products driving higher margins
- Distribution Expansion: Strengthening distribution network in rural and semi-urban areas

2. Long-term Catalysts

- Market Share Gains: HUL continues to gain market share across key categories
- Innovation Pipeline: Strong innovation and new product launches across segments
- Digital Transformation: Enhancing direct-to-consumer channels and digital capabilities
- Sustainability Focus: Commitment to sustainability and reducing environmental footprint

Current Market Price (as on 26-06-2026):

 **₹ 2,174**  **0.76%**

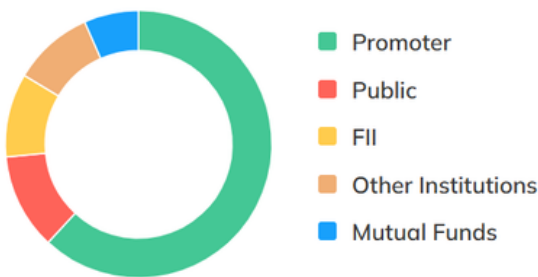
Quick Data	
BSE Code	500696
NSE Symbol	HINDUNILVR
Market Cap	₹ 5,10,848 Cr.
52 W H/L (Rs)	₹ 2,660 / ₹ 2,022
Stock P/E	33.6
Book Value	₹ 207
Face Value	₹ 1.00



Source: Google finance

HUL's share price declined by approximately 7.26% over the last 30 days. As of 24 June 2026, the stock closed at ₹2,159.75, down 1.16% from the previous day's close. Over the past one year, the stock has delivered a negative return of approximately 4.34%.

Shareholding Pattern (as on 26-06-2026)



Shareholding Highlights (Source: ICICI Direct)

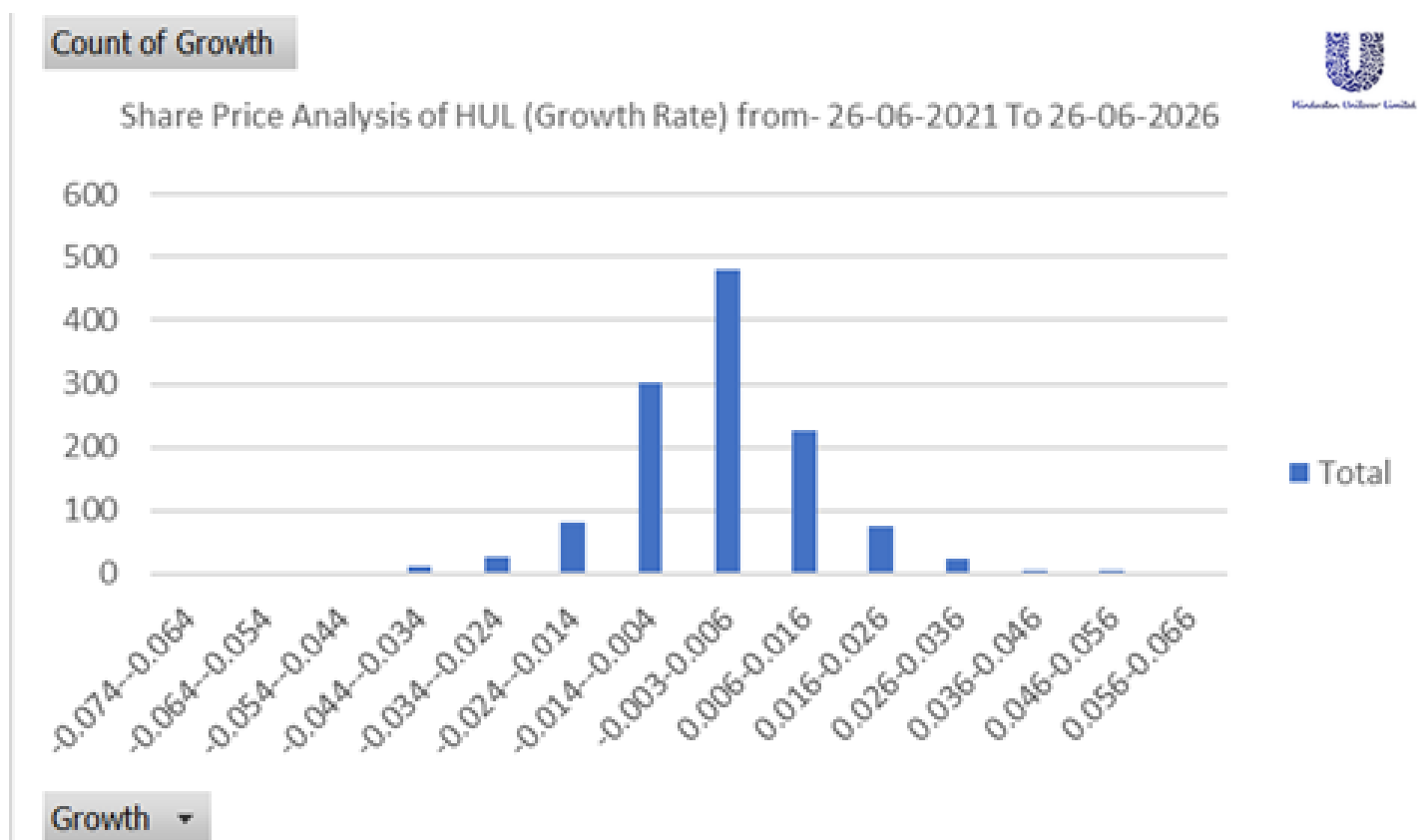
- Mutual Fund holding increased by 0.04% in the latest quarter.
- Promoter (Unilever) shareholding decreased by 0.05% during the most recent quarter.
- Promoter pledge remains at 0%, reflecting a debt-free promoter shareholding structure.

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• Industry Overview

- The **Fast-Moving Consumer Goods (FMCG) sector is one of the largest sectors of the Indian economy** and plays a significant role in driving consumption, employment, and economic growth. The sector caters to the daily needs of consumers through products such as food, beverages, personal care, and home care items, making it relatively resilient during economic slowdowns.
- **India's rising disposable income, rapid urbanisation, growing rural demand, and changing consumer preferences** continue to support the growth of the FMCG industry. The Government of India has also introduced various initiatives, including 100% FDI in food processing, the Production Linked Incentive (PLI) Scheme, and improved rural infrastructure, to encourage investment and manufacturing in the sector.
- The **industry attracts both domestic and foreign investment**, with leading companies such as Hindustan Unilever Ltd. (HUL), ITC Ltd., Nestlé India Ltd., Britannia Industries Ltd., and Dabur India Ltd. HUL is the market leader in the Indian FMCG industry, with a presence in nearly 9 out of 10 Indian households through its diversified portfolio of trusted brands.
- The Indian FMCG **market is expected to witness steady growth** in the coming years, driven by premiumisation, digital commerce, rising rural consumption, and increasing demand for branded consumer products, making the sector an attractive long-term investment opportunity.

Analysis of Growth Rate



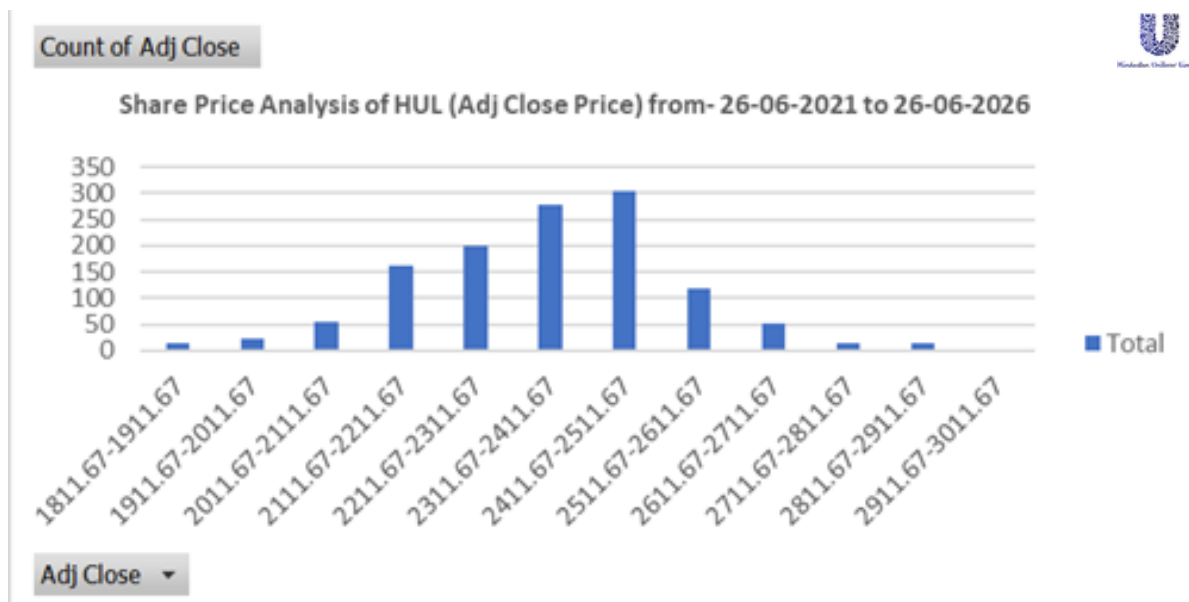
Analysis

- The above chart shows the **frequency distribution of the daily growth rate (%)** in the share price of Hindustan Unilever Ltd. (HUL) over the **last 5 years (June 2021 – June 2026)**. It presents a **near-normal probability distribution, indicating that daily returns between -0.3% and 0.6% occurred most frequently, accounting for 38.80% of all trading sessions**. Further, **around 63% of the observations lie within the range of -1.4% to 1.6%, highlighting the relatively stable nature of HUL's stock price**.

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- During May 2022, HUL's share price recorded a sharp gain of approximately 5.8% after the company reported strong quarterly earnings, supported by healthy volume growth across key product categories and announced a final dividend. The better-than-expected financial performance and continued market share gains boosted investor confidence, resulting in a strong upward movement in the stock price.
- In July 2024, the stock gained around 4.5% as expectations of a favourable monsoon and improving rural demand led investors to accumulate FMCG stocks. Optimism regarding higher rural consumption and government welfare initiatives positively influenced market sentiment towards HUL.
- Similarly, in September 2024, HUL shares advanced by nearly 4.9% following the company's announcement of a strategic acquisition in the premium skincare segment. Investors viewed the acquisition as a positive step towards strengthening HUL's presence in the high-growth beauty and wellness market, thereby improving future growth prospects.
- Despite these positive movements, HUL witnessed its largest single-day decline of approximately 7.4% on 24 October 2024 after reporting weaker-than-expected quarterly results. Lower profit growth, subdued rural demand, higher input costs, and a cautious management outlook led to heavy selling pressure, making it the sharpest decline during the five-year period.
- Earlier, in January 2024, the stock declined by nearly 5.8% owing to concerns over persistent inflation in rural markets, increasing competitive intensity, and pressure on operating margins. Investors remained cautious regarding the company's near-term earnings outlook.
- Before this, September 2023 saw another significant decline of around 4.1%, primarily due to concerns regarding proposed regulatory changes in certain product categories, rising crude oil prices, foreign institutional investor (FII) outflows, and profit booking after a sustained rally.
- Overall, the distribution indicates that HUL is a low-volatility defensive stock, with extreme price movements occurring only on a few event-driven occasions such as quarterly earnings announcements, acquisitions, macroeconomic developments, and government policy changes. The concentration of returns around the central range suggests that HUL generally exhibits stable price behaviour, making it suitable for long-term investors seeking relatively lower risk compared with cyclical sectors.

Analysis of Adjusted Closing Price (over the period of last 5 years):



Analysis:

- The above chart shows the number of trading days HUL's share price remained within each adjusted closing price range over the last 5 years. It also indicates the frequency with which the stock traded in each price band.
- It can be observed that HUL traded between the price range of ₹2,411.67 to ₹2,511.67 for about 305 trading days, the highest among all price ranges. Similarly, the stock remained between ₹2,311.67 and ₹2,411.67 for 279 trading days, indicating that these price levels acted as the major trading zone during the period.
- On the other hand, the stock traded below ₹2,011.67 and above ₹2,811.67 for a very limited number of trading days, suggesting that these price levels were reached only during exceptional market conditions.
- The above chart does not depict a normal probability distribution like the Growth Rate chart, as the adjusted closing price is influenced by long-term price trends, corporate actions such as dividends, bonus issues and stock splits, along with overall market conditions and investor sentiment.

Adjusted Closing Price refers to the closing price of a share after adjusting for corporate actions such as dividends, bonus issues, stock splits and other capital restructuring events, thereby providing a consistent basis for historical price comparison.

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•Descriptive Statistics (over the period of last 5 years):

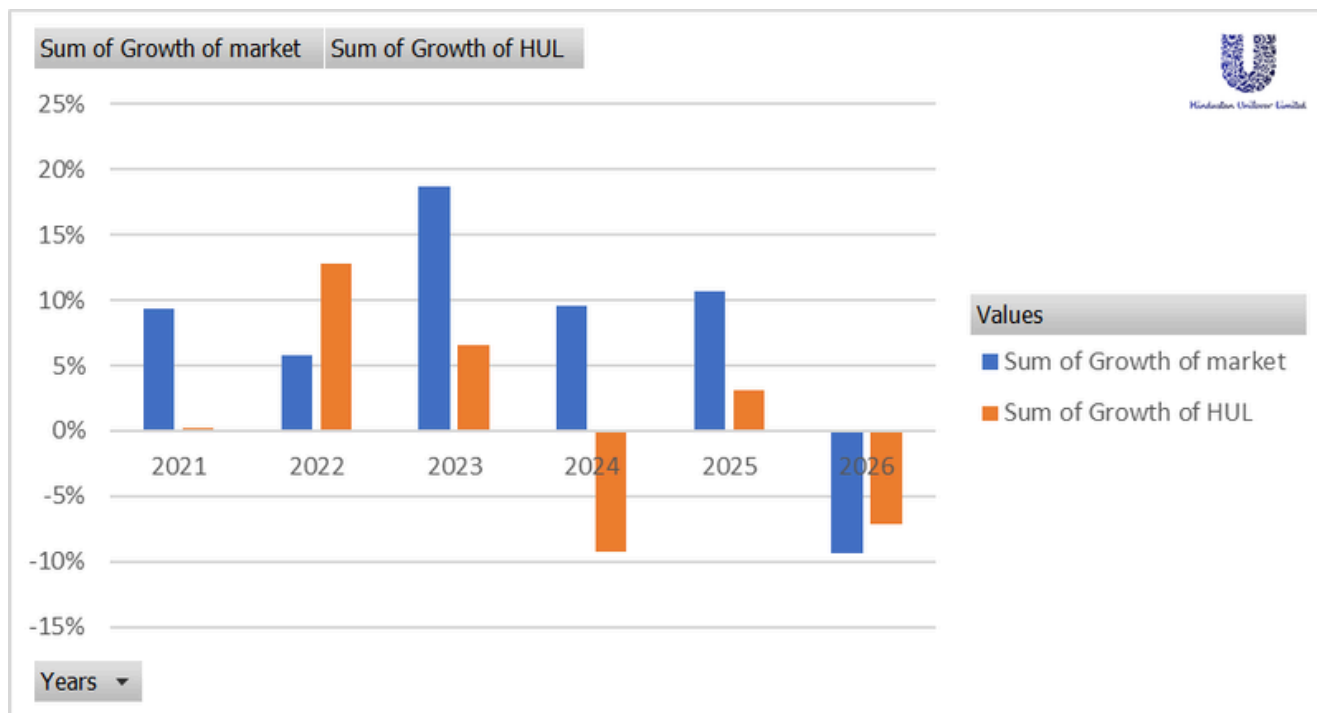
HUL price		Market price	
Mean	2358.569711	Mean	20822.54481
Standard Error	4.973136651	Standard Error	100.8427045
Median	2369.800781	Median	20267.90039
Mode	2122.659424	Mode	0
Standard Deviation	174.9102428	Standard Deviation	3546.739849
Sample Variance	30593.59305	Sample Variance	12579363.56
Kurtosis	0.499302409	Kurtosis	1.116576167
Skewness	-0.092205699	Skewness	-0.410482301
Range	1127.787109	Range	26328.55078
Minimum	1811.667236	Minimum	0
Maximum	2939.454346	Maximum	26328.55078
Sum	2917550.733	Sum	25757487.92
Count	1237	Count	1237
Largest(1)	2939.454346	Largest(1)	26328.55078
Smallest(1)	1811.667236	Smallest(1)	0
Confidence Level(95.0%)	9.756722929	Confidence Level(95.0%)	197.8418042

Analysis:

- The above table shows the comparison of different statistical variables between HUL Adjusted Closing Price and Adjusted Closing Price of Nifty 50 during the period of the last 5 years.
- The Mean, which represents the average price, is ₹2,358.57 for HUL, whereas for Nifty 50 it is ₹20,822.50.
- The Median is the middle value of the data set, which is ₹2,369.80 for HUL, whereas for Nifty 50 it is ₹20,267.90.
- The Mode is the value with the highest frequency in the data set. It can also be interpreted as the price at which the share traded for the maximum number of days. It is ₹2,122.66 for HUL, whereas for Nifty 50 there is no mode (0), indicating that no adjusted closing price was repeated.
- The Standard Deviation (σ) is a measure of how dispersed the data is in relation to the mean (average price). It tells investors how much the actual price is expected to deviate from the average price. The lower the standard deviation, the lower the volatility. It is ₹174.91 for HUL, whereas for Nifty 50 it is ₹3,546.74, indicating that HUL is comparatively less volatile than the broader market.
- The Sample Variance is the square of the standard deviation and represents the squared deviation of actual prices from the average price. It is ₹30,593.60 for HUL, whereas for Nifty 50 it is ₹12,579,400.
- The Standard Error measures the accuracy with which the sample data represents the population. Generally, a larger sample size results in a lower standard error. It is ₹4.97 for HUL, whereas for Nifty 50 it is ₹100.84.
- The Maximum represents the highest adjusted closing price during the period, which is ₹2,939.45 for HUL, whereas for Nifty 50 it is ₹26,328.60.
- The Minimum represents the lowest adjusted closing price during the period, which is ₹1,811.67 for HUL, whereas for Nifty 50 it is ₹0.
- The Range represents the difference between the maximum and minimum adjusted closing prices. It is ₹1,127.79 for HUL, whereas for Nifty 50 it is ₹26,328.60.
- Overall, the descriptive statistics indicate that HUL has exhibited relatively stable price movements with lower volatility compared to the Nifty 50 Index, reflecting the defensive nature of the FMCG sector and making HUL a comparatively lower-risk investment for long-term investors.

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Nifty (Market) & Share Growth Rate Analysis (5YEAR)



Analysis:

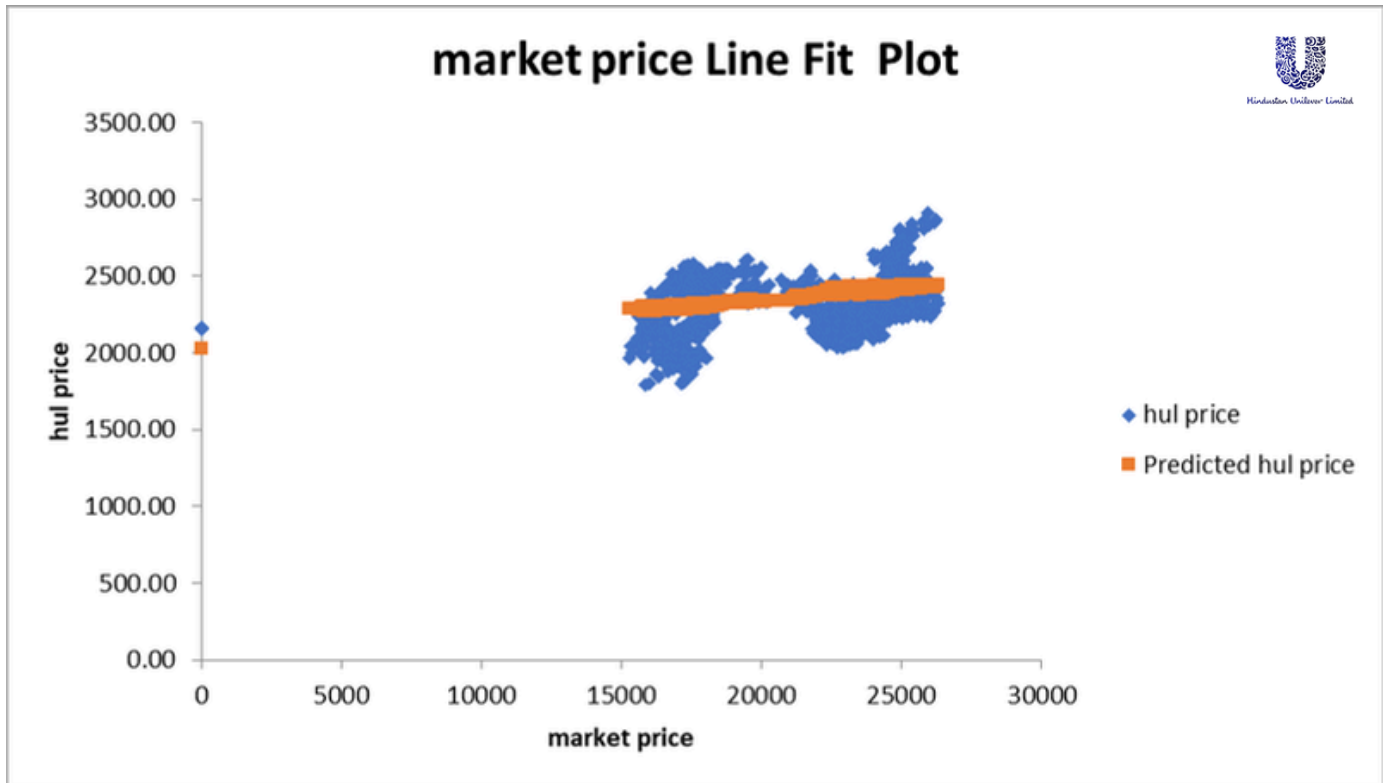
- The above table presents the monthly growth rate comparison between HUL and the Nifty 50 Index over the last 5 years (2021–2026). It highlights that HUL's performance was influenced not only by overall market movements but also by company-specific factors such as quarterly earnings, rural demand, inflation, and raw material prices.
- During 2021, the Indian market recovered strongly after the pandemic, whereas HUL delivered mixed returns. HUL recorded a strong gain of 15.71% in August 2021, outperforming the market growth of 8.36%, but witnessed a sharp decline of 11.34% in October 2021 due to rising input costs and margin pressure.
- In 2022, despite volatility arising from the Russia–Ukraine conflict and high inflation, HUL outperformed the market in several months. The stock registered its highest monthly growth of 17.13% in July 2022, compared with 8.44% for Nifty, reflecting strong investor confidence and resilient demand in the FMCG sector.
- During 2023, HUL delivered moderate performance but lagged behind the broader market in several months as investors shifted towards high-growth sectors. However, the company still recorded strong gains of 8.30% in May 2023 and 4.62% in December 2023 following positive business performance.
- The year 2024 proved to be the weakest period for HUL. The share price declined sharply by 15.44% in October 2024, compared to a 6.35% decline in Nifty, mainly due to weaker quarterly results, slower rural demand, and increased competitive pressure. Despite this, HUL outperformed the market during July and September 2024, supported by better-than-expected earnings.
- In 2025, HUL experienced significant fluctuations. The stock rebounded with 9.69% growth in July 2025, while the market declined by 2.97%, indicating strong company-specific momentum. However, several months witnessed underperformance due to profit booking and weak sector sentiment.
- In 2026 (YTD), both HUL and the market remained volatile. HUL recorded a strong recovery of 11.23% in April 2026, outperforming the market growth of 7.36%, although the stock witnessed declines during March, May, and June 2026 amid continued concerns over consumer demand.
- Overall, the analysis indicates that HUL displayed defensive characteristics, outperforming the market during periods of uncertainty while underperforming during broad market rallies. Over the five-year period, the stock experienced both sharp rallies and corrections, largely driven by earnings performance, consumption trends, inflationary pressures, and sector-specific developments rather than overall market movements.

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Correlation Analysis between Nifty (Market) & Share Price:

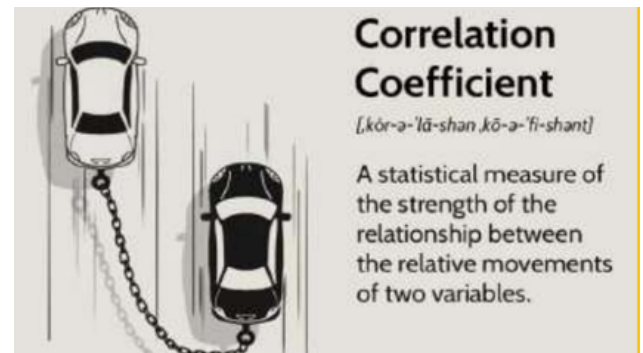


Analysis:

Correlation Analysis between HUL & Nifty (Market)

The above chart shows the correlation between HUL and Nifty (Market).

- A correlation coefficient is a number between -1 and +1 that shows the strength and direction of the relationship between two variables.
- The **orange line represents the line of best fit for the Adjusted Closing Price of Nifty over the last 5 years**, whereas the blue points represent the Adjusted Closing Price of HUL during the same period.
- It can be observed that the Adjusted **Closing Prices of HUL are scattered moderately close to the line of best fit**, indicating that the share price of **HUL is positively but weakly correlated with the Market**.
- The correlation coefficient between **HUL and Market is 0.3255**.
- A positive correlation coefficient means that **HUL generally moves in the same direction as the market, but the weak correlation indicates that its share price is largely influenced by company-specific factors** rather than overall market movements.



Multiple R	0.325534469
R Square	0.105972691
Adjusted R Square	0.105248782
Standard Error	165.4498554
Observations	1237

Correlation Coefficient Value	Correlation Type	Meaning
1	Perfect Positive Correlation	When one variable changes, the other variable changes in the same direction.
0	Zero Correlation	There is no relationship between the variables.
-1	Perfect Negative Correlation	When one variable changes, the other variable changes in the opposite direction.

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- **Beta (Sensitivity of Stock to Market):**

A Beta is a measure of a stock's volatility in relation to the overall market. By Definition, market, such as the Sensex & Nifty, has a beta of 1.0, and individual stocks are ranked according to how much they deviate from the market.

A stock that swings more than the market over time has a beta above 1.0. If a stock moves less than the market, the stock's beta is less than 1.0. High-beta stocks are supposed to be riskier but provide higher return potential; low-beta stocks pose less risk but also lower returns.

We have 2 approaches to calculate Beta i.e., Regression Approach & Bottom-Up Approach.

- **Regression Approach:**

Beta is based upon historical data and trend of target company.

On comparison of the historical growth trends in HUL and Nifty (Market), the following statistical data was obtained:

Regression Statistics	
Multiple R	0.325534469
R Square	0.105972691
Adjusted R Square	0.105248782
Standard Error	165.4498554
Observations	1237

ANOVA					
	df	SS	MS	F	Significance F
Regression	1	4007217.523	4007217.523	146.3896	6.30403E-32
Residual	1235	33806463.48	27373.65464		
Total	1236	37813681.01			

	Coefficients	Standard Error	t Stat	P-value	Lower 95%	Upper 95%	Lower 95.0%	Upper 95.0%
Intercept	2024.284861	28.02638517	72.22782565	0	1969.300269	2079.269454	1969.300269	2079.269454
market price	0.016053986	0.001326868	12.09915574	6.3E-32	0.013450821	0.018657152	0.013450821	0.018657152

Analysis:

- From the above, it can be interpreted that the Sensitivity of HUL to the Market (Beta) is 0.43 based on the regression approach, which means HUL is less volatile than the market and offers relatively stable returns.
- However, regression beta is not always the most accurate measure, especially in emerging markets like India, as it may have a high standard error and a low R^2 (8.64%), making the estimate less reliable for valuation purposes.
- Therefore, the Bottom-Up Approach is preferred. The Bottom-Up Beta of HUL is approximately 0.72, indicating that HUL is a defensive stock with lower market risk and moderate return potential. This beta is considered more reliable as it incorporates industry risk and HUL's capital structure.

Thus, as an alternative, we use Bottom-Up approach for calculating beta more reliably.

- **Bottom-Up Approach:**

Beta is based upon average industry beta of comparable companies.

Although this approach includes additional workings as against a relatively simple calculation of regression beta, the beta arrived from this method is more reliable. Every business entity has a different structure with respect to its operating model and capital structuring. The bottom-up approach considers this difference. This is the main factor which makes bottom-up beta superior than the regression beta.

Beta coefficient formula

$$\text{Beta coefficient } (\beta) = \frac{\text{Covariance } (R_i, R_m)}{\text{Variance } (R_m)}$$

R_i = the return on an individual stock
 R_m = the return on the overall market
Covariance = how changes in a stock's returns are related to changes in the market's returns
Variance = how far the market's data points spread out from their average value

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In this approach, we calculate Beta of all comparable companies, then we Un-lever the beta. After that we take the average of Unlevered Beta's. As the capital structure of every company is different, we re-lever the average beta as per the capital structure of our target company.

For the calculation of Beta as per Bottom-up approach, the Market Capitalization has been used as a criterion to select the comparable companies from the FMCG sector. Accordingly, the Historical data of the following companies had been considered:

Sr No	Company	Market Capitalisation
1	Nestle India Limited	₹ 2,14,500.00
2	Britannia Industries Limited	₹ 1,28,400.00
3	Godrej Consumer Products Limited	₹ 1,02,300.00
4	Dabur India Limited	₹ 94,800.00
5	Marico Limited	₹ 65,700.00

Assumption: We have assumed that the Capital structure of all companies are same i.e., Levered.

On further calculations, the beta of each company as well as their average obtained is as follows:

Sr No	Company	Beta
1	Nestle India	0.62
2	Britannia Industries	0.85
3	Godrej Consumer Products	0.78
4	Dabur India	0.7
5	Marico	0.75
Average		0.74

The bottom-up beta for HUL, which captures the nature of the business in which it operates, works out to be 0.716. Thus, it can be interpreted that the Sensitivity of HUL to that of Market (Beta) is 0.716, which means that HUL poses a lower risk with moderate return potential.

Conclusion:

Overall, Bottom-up Betas are designed to be a better measure of the market risk associated with the industry or sector of the business. It is estimated from the betas of firms in a specified business, thereby addressing problems associated with computing the cost of capital.

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• Value at Risk (VAR):

A Value at Risk (VAR) is a statistic that quantifies the extent of possible financial losses within a firm, portfolio, or position over a specific time frame. Value at Risk is commonly used to determine the extent and probabilities of potential losses in a given portfolio.

Value at Risk is the largest possible loss at a given confidence level and time period.

$$\text{Diversified Portfolio VaR} = \text{Volatility Of Return} \times \text{Nominal Value} \times \text{Z - score Of Confidence Level}$$

In case of HUL, the VAR is calculated using:

- Regression Beta: 0.4326 (percentage return-based beta)
- Adjusted Closing Price: ₹2,174.20 (as on 26-06-2026)
- Time Period: 1-day holding period
- Confidence Levels: 90%, 95%, and 99%

Confidence Level	Z-Score	Daily VaR (%)	Daily VaR (₹)
90%	1.645	-1.22%	₹ -26.53
95%	1.96	-1.45%	₹ -31.53
99%	2.576	-1.91%	₹ -41.53

Analysis

- The above table shows the Value at Risk (VaR) of HUL at different confidence levels over a one-day holding period.
- At a 90% confidence level, the maximum expected daily loss is 1.22% (₹26.53), indicating there is only a 10% chance that the loss will exceed this amount on any given trading day.
- At a 95% confidence level, the maximum expected daily loss increases to 1.45% (₹31.53), while at a 99% confidence level, the expected maximum daily loss is 1.91% (₹41.53).
- The VaR analysis indicates that HUL is a relatively low-risk defensive stock, as the estimated daily losses remain moderate even at higher confidence levels, making it suitable for conservative investors seeking stable returns.

Conclusion

HUL has a strong balance sheet with zero net debt, healthy cash flows, and a leading position in the FMCG sector. The demerger of its ice cream business is expected to unlock shareholder value while allowing greater focus on its core businesses. We expect HUL's earnings and volume growth to improve gradually, supported by stable rural demand, premium product expansion, and continued investments in high-growth categories.

Although rising raw material costs may put pressure on margins in the short term, HUL's strong brand portfolio and cost-saving initiatives are expected to support profitability over the medium term. We advise investors to remain invested or consider buying on market dips for mid-to-long-term investment, given HUL's defensive business model, consistent dividend track record, and sustainable growth potential.

Thank You
Prepared By:
Ishu Verma

For detailed workings refer the following link:

<https://docs.google.com/spreadsheets/d/1dRKCn3T0HtSdDGsxKYpcr4n53q0JlrKp/edit?usp=sharing&ouid=103333658044761001882&rtpof=true&sd=true>

For suggestions & improvements to be made, please mail at: <mailto:ishuverma1511@gmail.com>